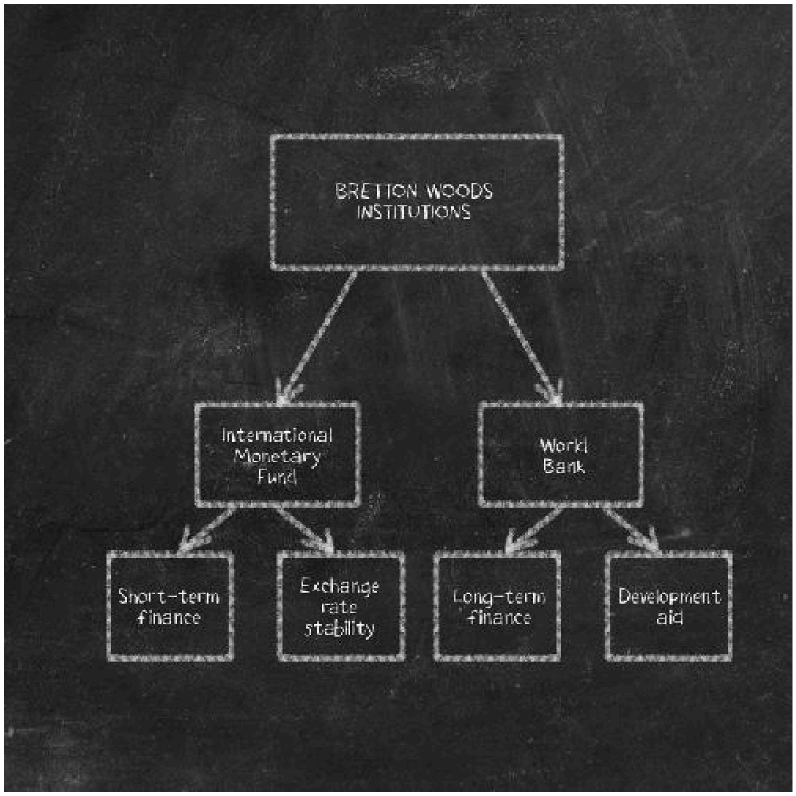
The Bretton Woods system

During the Great Depression of the 1930s, many countries shut out foreign imports to protect domestic markets, leading to a disintegration of the international economy. A 1944 conference at Bretton Woods, New Hampshire, laid the foundations for rebuilding global cooperation. Countries’ exchange rates were tied to the US dollar. The International Monetary Fund and World Bank were set up to help governments with financing and economic development. Another aim was to reverse protectionism. The General Agreement on Tariffs and Trade (GATT), later to become the World Trade Organization, oversaw rounds of international trade negotiations that continue to the present.

The system presided over several decades of stable growth, but ended in the early 1970s, after which the world saw increased economic instability. In the wake of the recent financial crisis, some commentators, evoking Bretton Woods, have argued for a another remodelling of the international finanscial system.


BRETTON WOODS INSTITUTIONS
International Monetary Fund
World Bank
Short-term finance
Exchange rate stability
Long-term finance
Development aid